

Increasing the Average Order Value at Zepto

A Product Management Case Study

AirTribe Product Management Course

June 2026

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1. Decomposing AOV

What is AOV and why does it matter?

AOV (Average Order Value) is the average amount a customer spends per order. For Zepto, increasing AOV generates additional revenue from existing users without any acquisition cost — directly improving unit economics.

To understand how AOV connects to profitability, I mapped it into the business KPI tree:

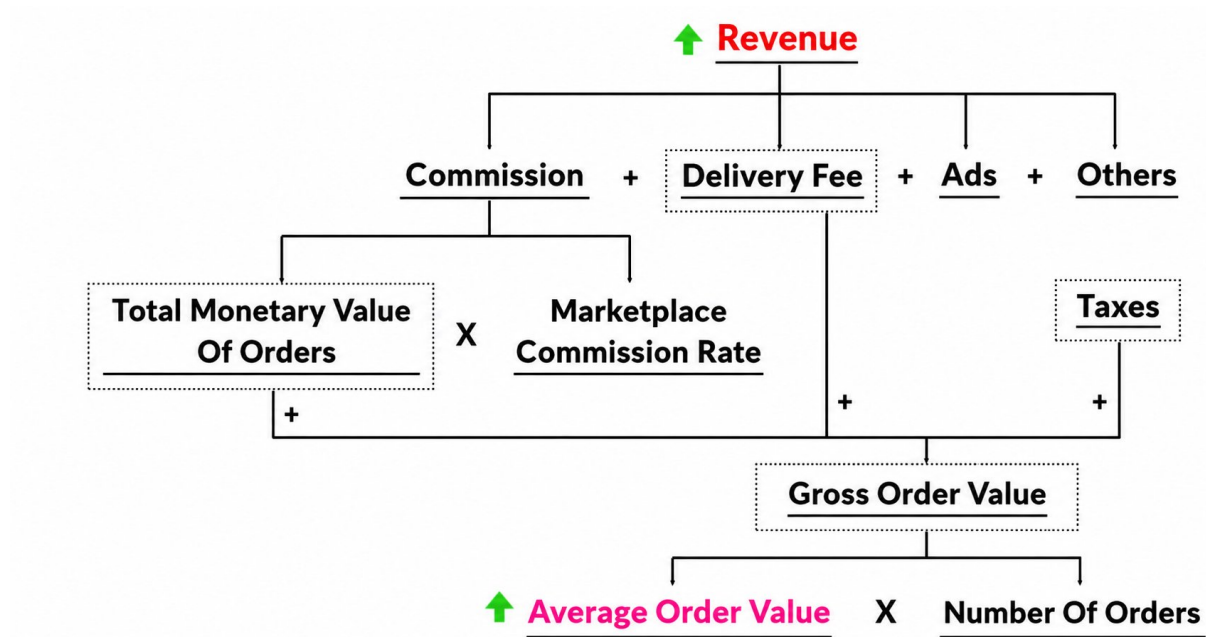


Figure: Business KPI Tree showing how AOV connects to Revenue and Earnings

The tree works top-down: Revenue comes from commissions, delivery fees, ads, and other services. Commission is driven by Gross Order Value (GOV), which breaks down as: **GOV = AOV x Number of Orders**. AOV is the specific node this case study targets.

Where does Zepto stand today?

Platform	Estimated AOV (FY26)	Free Delivery Threshold
Blinkit (Eternal)	~Rs.680-720	Rs.99 (Gold members)
Swiggy Instamart	~Rs.580-620	Rs.199
Zepto	~Rs.550-600	Rs.149 (since Jan 2026)

*Zepto's AOV has improved from ~Rs.430 (early FY25) to ~Rs.550-600, but **still trails Blinkit by Rs.100-120 per order**. At 2.3M daily orders, every Rs.50 lift = Rs.11.5 crore in additional daily GOV.*

Breaking AOV down to first principles

AOV = Number of Items per Order x Average Selling Price per Item

Two ways to increase AOV: make users add more items, or shift them toward higher-priced items. But what actually drives these levers is the underlying buying behaviour that brings users to the app.

Buying Behaviour	Trigger	Typical Basket	AOV Character
Forgetting / Top-up	Ran out mid-cooking	1-3 items	Low — urgency = narrow basket
Snacking / Impulse	Craving, boredom	1-4 items	Low — cheap items, narrow categories
Replenishment	Planned daily/weekly	5-10 items	High — multi-category, meal-level

The key insight: the vast majority of users fall into behaviours 1 and 2 — structurally low-AOV. Behaviour 3 is where AOV jumps 3-5x, but represents a tiny fraction. Most people still see Zepto as the "last-minute app," not a daily grocery store.

2. Secondary Research & User Segmentation

Method: This section is built on secondary research only — Zepto's DRHP filing, industry reports (Redseer, Nexdigm, IBEF) and competitor app teardowns. No user interviews or surveys were conducted, so segment sizes below are hypotheses to be validated with Zepto's order data.

Who is Zepto's customer base?

Zepto holds roughly **29% market share** in quick commerce, concentrated in Tier 1 and Tier 2 cities — Mumbai, Bengaluru, Delhi-NCR, Hyderabad. Users are predominantly aged 20-40 (**25-34 bracket: 36%, 18-24: 29%**) — working professionals, students, and young couples. Mid to high-income, mobile-first.

From Zepto's DRHP (June 2026): revenue doubled to Rs.22,624 crore in FY26, 4.79 crore annual transacting users, 2.3M orders/day, 46,600+ SKUs. Usage shows high repeat activity. Users primarily shop with a **mission-driven mindset** — "I need this now."

Segmentation Inputs

I segmented users across four dimensions: order frequency, discount sensitivity, purchase intent (planned vs impromptu), and category diversity.

Segment 1: The Urgency Top-Upper (~40-45% of users)

Forgot paneer while cooking. Opens app, searches one item, adds it, checkout in 90 seconds. Basket: Rs.150-300 (1-3 items). Frequency: 3-5x/week. Low discount sensitivity — urgency wins. Extremely narrow category diversity.

AOV Impact: Primary drag. Largest segment + smallest baskets.

Segment 2: The Impulse Snacker (~25-30% of users)

Mostly Gen Z. Bored, craving chips, orders on impulse. Basket: Rs.100-250 (1-4 items). Frequency: 4-6x/week. Moderate discount sensitivity — craving usually wins. Narrow categories (snacks, beverages). Snacks/beverages = ~32% of q-commerce market share.

AOV Impact: Second drag. High volume but tiny baskets.

Segment 3: The Threshold Optimizer (~15-20% of users)

Needs milk (Rs.30) but free delivery is Rs.149, so adds bread and eggs to cross it — then stops. Basket: Rs.149-250, clustering around threshold. Frequency: 2-3x/week. Very high discount sensitivity.

AOV Impact: Ceiling effect. Threshold becomes a stopping point, not a spending trigger.

Segment 4: The Planned Replenisher (~5-10% of users)

Dual-income urban households buying daily groceries on the platform — vegetables, fruits, dairy. Values freshness and flexibility. Basket: Rs.500-800+ (5-10 items). Daily to twice-weekly. Low discount sensitivity. High category diversity.

AOV Impact: Highest AOV but too small to move the average. **This is the untapped opportunity.**

Note: Percentage estimates are hypotheses based on secondary research. Actual distribution needs internal data.

3. Blockers & Problem Framing

Zepto users shop with a mission-driven mindset — "I need this now" — completing purchases as soon as their immediate need and free-delivery threshold are met. Users rarely explore additional categories. I identified five blockers:

Blocker 1: Mission-Driven "I Need This Now" Mindset

Type: Psychological

Stage: Before app opens

Users enter with a 1-2 item list. Minimal browsing. Zepto's 10-minute delivery promise trains users to minimise time-in-app rather than explore. Constrains intent before any feature can intervene.

Blocker 2: Free Delivery Threshold = Purchase Goal

Type: Pricing + Psychological

Stage: Cart/Checkout

The Rs.149 threshold was meant to encourage larger baskets, but acts as a stopping point. The progress bar celebrates when users reach it — signalling "you are done." Someone who might have spent Rs.250 stops at Rs.155.

Blocker 3: Habitual Reordering Narrows Categories

Type: Behavioural + Structural

Stage: Homepage/Reorder

"Buy Again" creates a closed loop: users re-add familiar items, the algo surfaces more of the same. A milk-bread-eggs user never discovers quality fruits or premium snacks. The reco system optimises for conversion (adding known items), not basket expansion.

Blocker 4: Convenience Over Discovery

Type: Experiential

Stage: Homepage/Search

Browsing is perceived as effort. App flow is built for task completion (search, add, checkout), not exploration. Searching "onion" shows onions — it does not suggest besan, chillies, and oil for the pakoras being made.

Blocker 5: Lack of Trust in Perishable Quality

Type: Experiential + Psychological

Stage: Category/Product pages

Users trust Zepto for packaged goods but are sceptical about fresh produce. Without kirana store touch-and-feel, users buy veggies offline — leaving the highest-AOV category (daily cooking, 5-10 items/order) underleveraged.

The Broken Purchase Journey

Current: Need arises → Search item → Reach free-delivery threshold → Checkout

Desired: Need arises → Browse → Discover complementary items → Add to basket → Checkout

Problem Statement

For mission-driven Zepto users in Tier 1/2 cities aged 20-40, **who struggle with** completing purchases as soon as their immediate need and free-delivery threshold are met — leaving baskets small and category exposure narrow, **we will focus on** contextual task-completion recommendations, moment-based discovery, and shifting users toward daily perishable buying **so that** users discover complementary products and build larger baskets **and the business can achieve** a meaningful AOV lift to close the Rs.100-120 gap with Blinkit and improve unit economics on its existing user base.

4. Competitive Analysis of Existing AOV Constructs

Before proposing new solutions, I checked whether Zepto is behind on the basics.

AOV Construct	Blinkit	Instamart	Zepto
Basket Builder	Free Coke, gamified bar	Free delivery >Rs.199	Free delivery >Rs.149
Cross-sell	On product add + cart	Cart page	Cart page
Bundles	Contextual (tomato+onion+potato)	Basic combos	Limited
Price anchoring	Organic next to regular	Limited	Limited
Reorder / Buy Again	Yes	Own vertical category	Yes

Finding: Standard AOV constructs are at parity across all three players — these are table-stakes, not differentiators. Optimising existing features yields marginal gains. What is needed are solutions that change user behaviour, not just rearrange recommendations.

5. Strategic Pillars & Solutions

Based on this analysis, I arrived at three strategic pillars:

Pillar	What It Addresses	How It Lifts AOV
1. Innovate on AOV constructs	Make each top-up bigger via smarter recos	Incremental: +Rs.40-60 per engaged order
2. Leverage impulse at key moments	Catch users with occasion-based bundles	Additive: +1-2 items of Rs.30-50
3. Shift users to daily perishables	Last-minute app → daily grocery destination	Transformative: Rs.150-300 → Rs.500-800

Solution 1: Task-Completion Recommendations

Targets: Top-Uppers, Threshold Optimizers

Blockers: #2, #4

Instead of generic "People also bought" recommendations, the app recommends products that **complete the user's task**. Users perceive these as helpful reminders, not upsells.

Examples: Maggi → Cheese, Butter, Coke (quick meal). Bread → Jam, Peanut Butter, Eggs (breakfast). Diapers → Baby Wipes, Rash Cream (baby care).

Widget sits at **Position 1 on the cart page** (~50% engagement vs sharp drop-off lower). Two tabs: task-completion suggestions and "Forgot Something?" Time-of-day personalisation: breakfast items in mornings, chai snacks in evenings, comfort food late night.

Sub-feature — "Running Out" predictor: "You purchased cooking oil 28 days ago. Running low?" with one-click add. Creates need before the user realises it.

Why it works: The cart page is the digital checkout counter — a proven impulse purchase zone. Up to 50% of grocery purchases in India are impulse-driven.

Expected lift: If 25-30% of orders add one Rs.40-60 item, that is +Rs.10-18 per order, or ~2-3% blended AOV. Build effort: Low-moderate — existing infra, mainly logic + design.

Solution 2: Context-Triggered Moment Bundles

Targets: Top-Uppers, Replenishers, Optimizers

Blockers: #1, #2, #3

Pre-curated 4-8 item bundles tied to moments/meals with an "Add All" button and 5-10% discount. These are occasion-level (not just ingredient combos) — answering "what am I doing tonight?"

Examples: Friday — "Movie Night Kit": Chips, Coke, Ice Cream, Popcorn (Rs.250-350). Rainy day — "Chai + Pakoda Essentials" (Rs.200-300). Dinner — "Paneer Butter Masala Kit" (Rs.300-400).

Gamification — Mini Missions: "Add 2 Snacks products, earn 50 Zepto Points." "Complete your Breakfast Basket, unlock cashback."

Why it works: Framing effect. "Paneer" alone = Rs.100 mental budget. "Paneer Butter Masala Kit — Rs.350" = Rs.350 mental budget. Same need, expanded consideration set.

Expected lift: Bundle orders Rs.300-450 vs Rs.150-300 top-ups. 8-12% attach rate moves AOV. Build effort: Medium — engineering + ongoing merchandising curation.

Solution 3: "Fresh Today" — Daily Perishable Experience

Targets: Replenishers (grow), Top-Uppers (convert)

Blockers: #1, #5

Fresh produce has the highest natural AOV (5-10 items/order) and higher margins (no MRP on loose produce). The core blocker is trust. Three components:

A) Trust Markers: Sourcing info ("Sourced 4 hrs ago from Nashik"), freshness grade, social proof ("1,200 orders in your area today") — substituting for kirana store touch-and-feel.

B) Repositioning via existing real estate: Order tracking page (6-15 mins captive attention) tells the freshness story instead of generic ads. Shifts perception from "last-minute app" to "daily grocery."

C) Habit formation: Contextual push notifications — time-based, behaviour-based. Deliberately NOT discount-driven. Core value prop (freshness + convenience) must drive behaviour.

Optional lever — Waive delivery for perishable-committed users (60:40 bet in favour). Lifetime AOV lift likely justifies subsidy. A/B test in pilot cities first.

Why not subscriptions? Daily grocery = variety and flexibility. Subscriptions lock users into fixed items. May work later for stable-demand items like milk.

Expected lift: Per-user AOV jumps 2-4x. Even 5-10% MTU conversion moves the needle. 3-6 month play with supply chain dependencies.

6. RICE Prioritisation & Roadmap

RICE is a prioritisation framework: **Score = (Reach x Impact x Confidence) / Effort**. **Reach** is the number of users a solution affects over 12 months, sized from Zepto's **4.79 crore (47.9M) annual transacting users** (DRHP, March 2026). **Impact** (1-5) is the AOV lift per affected user, **Confidence** (0.5-1.0) the strength of evidence, **Effort** (1-10) the cross-functional build cost. Higher score = higher priority.

Pre-scoring hygiene: Removed duplicate ideas (social proof already in Solution 1's reco engine) and mutually exclusive ones (ML recommendations make manual curation redundant).

Sizing Reach

Solution	Who it reaches	Assumption	Reach (12 months)
Task-Completion Recommendations	Users who engage with the cart-page widget	Every order passes the cart; ~50% engage with a Position 1 widget	~24M users (2.4 crore)
Context-Triggered Moment Bundles	Users shown a bundle that matches their moment	~40% of users see a relevant bundle on homepage or search	~19M users (1.9 crore)
Fresh Today + Trust Markers	Users in the fresh-produce buying pool	Planned Replenishers (5-10%) + Top-Uppers who already top up produce, ~20% in all	~9.6M users (96 lakh)

Reach shares are assumptions from secondary research; validate against Zepto's cart and search analytics.

RICE Scores

Solution	Reach	Impact	Confidence	Effort	RICE Score
Task-Completion Recommendations	24M	2	0.9	3	14.4
Context-Triggered Moment Bundles	19M	3.5	0.7	5	9.4
Fresh Today + Trust Markers	9.6M	5	0.5	8	3.0

Scores use reach in millions of users.

Scoring Rationale

Solution 1 (14.4): Highest reach, since every ordering user passes the cart page. Impact 2 — one Rs.40-60 add-on per engaged order is incremental. Confidence 0.9 — checkout-counter impulse buying is proven retail behaviour. Effort 3 — existing recommendation infra.

Solution 2 (9.4): Reach limited to users who see a bundle that fits their moment. Impact 3.5 — a bundle order is roughly Rs.150 bigger than a top-up. Confidence 0.7 — Blinkit's combos validate the concept. Effort 5 — engineering + recurring merchandising.

Solution 3 (3.0): Smallest reach, limited to the fresh-produce buying pool, and the 2-3 city pilot cuts first-phase reach further. Impact 5 — highest, 2-4x per-user AOV. Confidence 0.5 — behaviour change initiative. Effort 8 — spans product, supply chain, marketing, ops, data science.

Beyond the Scores

Precedence: Solution 3 has a critical dependency — trust markers only work if produce quality is consistent. One bad batch permanently damages trust. Supply chain readiness must precede the product experience.

Learning: Solution 1 generates data (what gets added, by whom, when) that directly informs Solutions 2 and 3.

Roadmap

Priority	Solution	Timeline	Why
P0 — Now	Task-Completion Recos	Weeks 1-6	Quick win. Zero dependencies. Generates learning.
P1 — Next	Moment Bundles	Weeks 6-14	Higher per-user lift. Start curation in parallel (Wk 3-6).
P2 — Later	Fresh Today	Month 3-6	Highest strategic impact. Supply chain first. Pilot 2-3 cities.

Key Metrics

Primary KPIs:

KPI	Target (90 days)
Overall AOV	+3-5% from baseline (Solution 1 at full run + part-quarter of Solution 2)
Items per order	+0.5-1.0 items
AOV by segment	Lift in Top-Uppers and Threshold Optimizers

Guardrail Metrics:

Metric	Watching for
Order frequency	AOV lift should not reduce total orders (consolidation risk)
Delivery time	Larger baskets should not break the 10-min promise
Cart abandonment	Widgets should not cause decision fatigue
CS tickets (quality)	Critical for S3 — pause rollout if complaints spike

References

1. Business Standard — Zepto annualised GOV crossing \$3 billion (January 2025)
2. Contrary Research — Zepto company profile and market share data
3. Zepto DRHP filing (June 2026) — revenue, orders, MTU, dark store count
4. Redseer, Nexdigm, IBEF — India quick commerce market sizing reports
5. Eternal/Zomato FY26 annual report — competitive AOV benchmarking

Thanks for reading.